

S E R V E D

October 11, 2017

FEDERAL MARITIME COMMISSION

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**DOCKET NO. 17-02**

**HANGZHOU QIANWANG DRESS CO., LTD.**

**v.**

**RDD FREIGHT INTERNATIONAL INC.**

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**ORDER DISCHARGING ORDER TO SHOW CAUSE AND  
ESTABLISHING DISCOVERY AND BRIEFING SCHEDULE**

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**I. BACKGROUND.**

On August 16, 2017, the undersigned issued an order for complainant Hangzhou Qianwang Dress Co., Ltd. (Hangzhou Qianwang) to show cause why the Complaint should not be dismissed for failure to prosecute and failure to comply with orders in this proceeding. *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, FMC No. 17-02, Order at 1 (ALJ Aug. 16, 2017) (Order for Complainant to Show Cause Why Complaint Should Not Be Dismissed and Order for Respondent to Respond). On August 23, 2017, Hangzhou Qianwang filed the new Verified Complaint and designation of representative previously required by the April 28, 2017, and the July 24, 2017, orders (*see Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, FMC No. 17-02, Order at 1 (ALJ Apr. 28, 2017) (Order to Supplement the Record); *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, FMC No. 17-02, Order at 1 (ALJ Jul. 24, 2017) (Order to File Status Reports; Order for Complainant to Supplement the Record)), remedying the problems that resulted in the issuance of the show cause order. Therefore, the show cause order is **DISCHARGED**.

Respondent RDD Freight International Inc. (RDD Freight) filed an answer to the original improperly signed Complaint of March 23, 2017. RDD Freight included a counterclaim in its answer. Commission Rules and the Initial Order required the parties to serve initial disclosures within seven days of the filing of the answer and to submit a proposed discovery schedule within twenty days of the filing of the answer. *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, FMC No. 17-02 (ALJ Mar. 3, 2017) (Initial Order). The parties have not filed

a proposed schedule. Given the delays that have already occurred in this proceeding, discovery and briefing schedules are being issued without input from the parties. *See* 46 C.F.R. § 502.25(b)(4) (authorizing the presiding officer to “fix the time for filing briefs, motions, and other documents to be filed in connection with hearings and the administrative law judge’s decision . . . and dispose of any other matter that normally and properly arises in the course of proceedings.”)

In its Amended Complaint, Hangzhou Qianwang alleges that Hangzhou Qianwang is located in China where it manufactures acrylic knit gloves and hats and ships them to purchasers in the United States. RDD Freight is a non-vessel-operating common carrier (NVOCC) licensed by the Commission. Hangzhou Qianwang alleges that on August 25, 2016, August 31, 2016, and September 15, 2016, RDD Freight transported three separate shipments of acrylic knit gloves and hats to a Hangzhou Qianwang customer in the United States. RDD Freight released each of the shipments to the consignee without obtaining the original bills of lading or Hangzhou Qianwang’s consent. The consignee had not paid for the acrylic knit gloves and hats. Hangzhou Qianwang alleges that by releasing the shipments without obtaining the original bills of lading, RDD Freight failed “to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property” in violation of section 41102(c) of the Act. 46 U.S.C. § 41102(c). Hangzhou Qianwang alleges that as a direct consequence of RDD Freight’s violation, Hangzhou Qianwang sustained damages in the amount of \$134,207.70. (Amended Complaint at 2-5.)

RDD Freight’s counterclaim alleges that Hangzhou Qianwang “conspired with its counterparts in a scheme to defraud [RDD Freight] out of monies bonded with the FMC” because Hangzhou Qianwang “never alerted [RDD Freight] as to its problems with its consignee and refused to pursue or collect monies for the goods in question from its consignee.” (Verified Answer and Response at 2-3.)

## **II. DISCOVERY SCHEDULE.**

The allegations of the Complaint involve three shipments of one container each. Therefore, extensive discovery should not be necessary. Although the Commission’s discovery rules provide for discovery to be completed within 150 days, 46 C.F.R. § 502.141(g), the Rules also provide that “the presiding officer, for good cause, may reduce . . . any time limit prescribed in the rules.” 46 C.F.R. § 502.105. Given the number of shipments involved, I find good cause for shortening the period for discovery. The following deadlines are imposed:

|                   |                                                                                                           |
|-------------------|-----------------------------------------------------------------------------------------------------------|
| October 18, 2017  | Initial disclosures                                                                                       |
| October 25, 2017  | Service of all interrogatories, requests for production of documents, and requests for admission          |
| November 28, 2017 | Service of responses to interrogatories, requests for production of documents, and requests for admission |

December 7, 2017      Service of any motion for leave to serve additional interrogatories, requests for production of documents, and requests for admission based on responses to discovery. A motion for leave to serve additional discovery is a non-dispositive motion. “Before filing a non-dispositive motion . . . , the parties must attempt to discuss the anticipated motion with each other in a good faith effort to determine whether there is any opposition to the relief sought and, if there is opposition, to narrow the areas of disagreement. The moving party must state within the body of the motion what attempt was made or that the discussion occurred and whether the motion is opposed.” 46 C.F.R. § 502.71(a).

December 22, 2017      Completion of all discovery

### **III. BRIEFING SCHEDULE.**

January 12, 2018      Hangzhou Qianwang to file proposed findings of fact, brief, and appendix.

February 2, 2018      RDD Freight to file response to Complainants’ proposed findings of fact, RDD Freight’s proposed findings of fact, brief, and appendix

February 9, 2018      Hangzhou Qianwang may file reply to RDD Freight’s proposed findings of fact and reply brief. A reply may not raise new grounds for relief or present matters that do not relate to the response and must not reargue points made in the opening motion.

### **FORM REQUIREMENTS FOR DOCUMENTS.**

#### **A. Stipulations.**

The parties may, by stipulation, agree upon any facts involved in the proceeding. 46 C.F.R. § 502.207. The parties are expected to attempt to narrow the issues and to shorten the proceeding by stipulations. Stipulations must be signed by the parties. This document must set forth stipulations in numbered paragraphs. Each paragraph must be limited as nearly as practicable to a single factual proposition. The parties must provide an electronic copy of the Stipulations in a word-processing format *to the Office of Administrative Law Judges*.

#### **B. Proposed Findings of Fact.**

This document must set forth proposed findings of fact in numbered paragraphs. Each paragraph must be limited as nearly as practicable to a single factual proposition. Each factual proposition must be followed by an exact citation to evidence that the party contends will support

the proposed finding of fact; *i.e.*, a page number in the Appendix.<sup>1</sup> See 46 C.F.R. § 502.214. The party filing Proposed Findings of Fact must provide an electronic copy of the Proposed Findings of Fact in a word-processing format to all parties *and to the Office of Administrative Law Judges*.

**C. Response to Proposed Findings of Fact.**

This document must set forth verbatim each proposed finding of fact to which it responds, then admit or deny the proposed finding. Each proposed finding of fact that the responding party denies must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the proposed finding of fact. The party filing a Response to Proposed Findings of Fact must provide an electronic copy of the Response in a word-processing format to all parties *and to the Office of Administrative Law Judges*.

**D. Appendix.<sup>2</sup>**

The documentary evidence on which a party bases its Proposed Findings of Fact must be included in an Appendix in the following format:

1. The cover of the appendix must identify the party or parties that prepared the appendix; *e.g.*, “Complainants’ Appendix.”
2. The pages of the appendix must be numbered sequentially.
3. The appendix must begin with a table of contents identifying each document and identifying the appendix page at which each document begins and noting if any pages are entitled to confidential treatment.
4. Each party must ensure that all documents in its appendix are legible.
5. The parties are instructed, to the extent practicable, to cite to a document in an appendix already in the record rather than include the same document in

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<sup>1</sup> Parties must designate specific facts and provide the court with their location in the record. *Orr v. Bank of Am., NT & SA*, 285 F.3d 764, 775 (9th Cir. 2002). “General references [to evidence] without page . . . numbers are not sufficiently specific.” *S. Cal. Gas Co. v. City of Santa Ana*, 336 F.3d 885, 889 (9th Cir. 2003).

<sup>2</sup> The parties can see examples of the format required for the Proposed Findings of Fact (“Served October 4, 2007, Procedural Order, Attachment A Administrative Law Judge Tentative Findings of Fact”) and the Appendix (“Served October 4, 2007, Procedural Order, Attachment A Administrative Law Judge Tentative Findings of Fact, Appendix”) in the proceeding *Clutch Auto, Ltd. v. International Touch Consolidator, Inc.*, FMC No. 1880(F), accessed from the Commission’s web site through “Docket Activity Logs.”

its own appendix. For instance, if Respondents contend that a document included in Complainants' appendix rebuts the evidence Complainants claim supports a proposed finding of fact, Respondents should cite to Complainants' appendix rather than include a second copy of the same document in its own appendix.

6. The parties should include in the appendix only those pages necessary to identify the document and support its proposed fact. For instance, if support for a party's proposed fact is found on pages 79 and 80 of a deposition transcript, the party should include the cover sheet, pages 79 and 80, and only those preceding and following pages necessary for context, not the entire deposition transcript.
7. If a party includes documents in a language other than English in its appendix, Commission Rule 7 provides:

Every document, exhibit, or other paper written in a language other than English and filed with the Commission or offered in evidence in any proceeding before the Commission under this part or in response to any rule or order of the Commission pursuant to this part, must be filed or offered in the language in which it is written and must be accompanied by an English translation thereof duly verified under oath to be an accurate translation.

46 C.F.R. § 502.7. Unless the document has already been translated by another party, the party who wants to use the document must supply the translation.

8. The parties must avoid including multiple copies of the same document in the appendix.

#### **E. Brief.**

A party's brief must meet the requirements of Commission Rule 214, 46 C.F.R. § 502.214, with the exception that the proposed findings of fact required by section 502.214(c)(2) must be included in the Proposed Findings of Fact described above. The pages of the Proposed Findings of Fact do not count toward the page limitation stated in Commission Rule 214(e). The party filing a brief must provide an electronic copy of the brief in a word-processing format *to the Office of Administrative Law Judges*.

**F. Confidential Information.**

The parties are reminded of the requirements set forth in paragraphs 17 through 22 of the Initial Order governing the filing of information that a party claims is confidential.

**G. Electronic Copies of Documents in a Word-Processing Format.**

Electronic copies of documents in a word-processing format should be provided by email or on a portable electronic storage device. The parties are directed to consult with each other to determine the most practicable way to send electronic copies to each other. The parties are directed to send the electronic copy to the Office of Administrative Law Judges at the following email address – [judges@fmc.gov](mailto:judges@fmc.gov) – or send a portable electronic storage device directly to the Office of Administrative Law Judges.

  
Clay G. Guthridge  
Administrative Law Judge